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MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-BVOC (HONOURS) REGULAR EXAMINATION NOVEMBER 2025

FIRST SEMESTER

SKILL DEVELOPMENT COMPONENTS (SDC) - MG1SDCAAT102 - INTERNAL AUDIT AND RISK MANAGEMENT

(2025ADMISSIONONWARDS)

Duration: 1hour 30minutes **Maximum Marks:50**

Remember (K), Understand (U), Apply (A), Analyse (An), Evaluate (E), Create (C), Skill (S), Interest(I) and Appreciation (Ap)

PartA

Very Short Questions
Answer any **5** questions
Each question carries **4** marks

1. What is meant by internal control? [U] / [CO2]
   Internal control means the system of policies and procedures used by an organization to safeguard assets, ensure accuracy of financial records, and promote efficient operations and compliance with rules.

2. What is IIA? and when was it established? [U] / [CO1]
   Institute of Internal Auditors (IIA) — An international professional association for internal auditors that sets standards, offers certifications and promotes internal-audit practice globally. It was established in November 1941

3. Explain the purpose of a Risk-Based Audit Plan. [An] / [CO2]
   A Risk-Based Audit Plan focuses audit resources on areas with the highest risk, ensuring efficient auditing and better detection and prevention of major issues.

4. What steps are involved in creating an internal audit plan for a particular organisation? [A] / [CO4]
   1. Understand the organization– Review objectives, structure, processes, and environment.
   2. Identify and assess risks– Determine areas with high potential impact and likelihood of risk.
   3. Set audit priorities– Rank areas based on risk level and importance.
   4. Define audit scope and objectives– Decide what will be audited and expected outcomes.

5. Allocate resources– Assign auditors, time, and budget.
6. Prepare the audit schedule– Decide timelines and frequency of audits.
7. Develop audit methodology – Select audit tools, procedures, and standards.
8. Get management approval – Present the plan to top management for approval.
9. Communicate the audit plan– Share plan with relevant stakeholders.
10. Review and update regularly– Adjust plan based on new risks or changes in the organization.

5. Can internal audit help find problems or risks early? [An] / [CO1]

Yes, internal audit can help identify problems and risks at an early stage. By regularly reviewing processes, controls, and operations, internal auditors detect weaknesses before they become major issues. This helps management take preventive actions and improve overall efficiency and security.

6. How does the IIA support the global internal auding profession? [U] / [CO1]

The IIA (Institute of Internal Auditors) supports the global internal auditing profession by setting professional standards, offering certifications like CIA, and providing training and research resources. It also promotes best practices, ethical guidelines, and a global network for knowledge sharing and professional growth.

7. Why should internal auditors study the existing control systems? [An] / [CO2]

Internal auditors should study existing control systems to understand how well they protect assets, ensure accuracy, and support operational efficiency. By examining current controls, auditors can identify weaknesses, risks, or gaps. This helps recommend improvements to strengthen the organization's overall internal control environment.

8. Explain the purpose of a Risk-Based Audit Plan. [U] / [CO3]

A Risk-Based Audit Plan ensures that audit efforts are focused on the areas with the highest risk and greatest importance to the organization. Its purpose is to use resources efficiently by prioritizing processes that could significantly impact goals if controls fail. This approach improves early detection of issues and supports better decision-making.

PartB

Short Essay Questions Answer any **5** questions
Each question carries **6** marks

9. What is the relationship between internal audit and accountability mechanisms in corporations? [U] / [CO1]

The relationship between internal audit and accountability mechanisms in corporations is interconnected: (1) internal audit provides independent evaluation of internal controls, ensuring operations follow policies and regulations; (2) it strengthens accountability by detecting errors, fraud, and inefficiencies and requiring management to address them; (3) it supports transparent and reliable financial reporting, which is essential for holding leaders responsible; (4) it enhances risk management by identifying weaknesses that

could undermine accountability; and (5) it informs the board and audit committee, enabling effective oversight and reinforcing a culture of responsibility and ethical conduct within the corporation.

. 10. Discuss how the Internal Audit Charter supports effective internal auditing process [U] / [CO1]

The Internal Audit Charter supports an effective internal auditing process by (1)clearly defining the purpose, authority, and responsibility of the internal audit function; (2) establishing the audit team's independence from management, which is essential for objective evaluations; (3) outlining the scope of audit activities to ensure comprehensive coverage of risk, controls, and governance; (4) granting auditors unrestricted access to records, personnel, and physical properties necessary for thorough examinations; (5) setting reporting lines to senior management and the audit committee to strengthen oversight; (6) providing a framework for accountability and performance standards; and (7) ensuring alignment of internal audit activities with organizational goals and regulatory requirements, thereby enhancing the overall effectiveness and credibility of the audit process.

11. What are the main responsibilities of the Chief Audit Executive (CAE) under the charter? [An] / [CO4]

The Chief Audit Executive's (CAE) main responsibilities under the charter include: (1) developing a risk-based internal audit plan and ensuring its execution; (2) ensuring the internal audit activity maintains independence, objectivity, and alignment with professional standards; (3) managing audit resources and assigning work to competent staff; (4) communicating audit results, significant risks, and control issues to senior management and the board; (5) coordinating with external auditors and other assurance providers to optimize coverage; (6) reporting on the performance, effectiveness, and resource needs of the internal audit function; and (7) ensuring follow-up on management action plans to address audit observations.

12. Describe the challenges faced by internal auditors while audit in government organizations. [U] / [CO1]

Internal auditors in government organizations face several challenges, including:
(1) bureaucratic delays and rigid administrative procedures that slow audit activities; (2) limited access to complete and timely data due to poor documentation or restrictive information practices; (3) political influence or pressure that may compromise auditor independence; (4) resource constraints such as inadequate staffing, skills gaps, or outdated technology; (5) resistance from departments or officials who may perceive audits as fault-finding; (6) complex regulatory frameworks and frequent policy changes that increase compliance difficulty; and (7) challenges in implementing recommendations due to slow decision-making and weak accountability mechanisms.

13. What factors should be considered before accepting an internal audit engagement? [An] / [CO2]

Before accepting an internal audit engagement, the following factors should be considered: (1) the independence and objectivity of the internal audit team to ensure no

conflicts of interest; (2) the competence, skills, and resources required to perform the audit effectively; (3) clarity of the audit scope, objectives, expectations, and timelines; (4) understanding of the organization's business, risks, internal controls, and regulatory environment; (5) management's support and the availability of necessary information and access; (6) potential limitations or restrictions that may affect audit quality; and (7) legal, ethical, and professional requirements relevant to the engagement.

14. What is meant by an existing control system? [U] / [CO2]
An existing control system refers to the set of processes and mechanisms already in place within an organization to ensure effective operations, reliable reporting, and compliance with laws and policies, and includes: (1) established policies, procedures, and standard operating processes; (2) manual and automated controls designed to prevent or detect errors, fraud, and inefficiencies; (3) roles, responsibilities, and authorization structures that promote accountability; (4) risk management practices that identify, assess, and mitigate risks; (5) monitoring activities such as supervision and internal checks; and (6) information and communication systems that support timely and accurate decision-making.

15. What are the sources of information used to identify risks during audit planning? [U] / [CO3]
Sources of information used to identify risks during audit planning include:
(1) previous audit reports and follow-up results that highlight recurring issues;
(2) discussions and interviews with management and key process owners;
(3) organizational policies, procedures, and strategic plans;
(4) financial statements, performance data, and operational records;
(5) industry trends, regulatory updates, and external reports;
(6) internal control assessments and risk registers maintained by the organization; and
(7) observations from walkthroughs, site visits, and preliminary analytical reviews.

16. Explain the evolution and development to internal auditing as a profession. [U] / [CO1]
The evolution and development of internal auditing as a profession can be explained as follows: (1) it began in the early 20th century as a clerical activity focused mainly on checking financial transactions; (2) gradually, organizations recognized the need for internal checks to prevent fraud and errors, expanding the auditor's role; (3) the formation of the Institute of Internal Auditors (IIA) in 1941 formalized internal auditing as a recognized profession; (4) over time, internal audit shifted from compliance and financial verification to assessing internal controls and operational efficiency; (5) the introduction of the International Standards for the Professional Practice of Internal Auditing strengthened professionalism and global consistency; (6) in recent decades, the role evolved further toward risk-based auditing and governance assurance; and (7) today, internal auditing is seen as a strategic function that provides insight, advice, and value addition to organizational decision-making.